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HUM 4641

Accounting  
CSE-1  
(1)

1. No. Ans.:

(a)

Zubayen is wrong. In

double entry system, each transaction doesn't have to be ~~twice~~ recorded

twice, Each transaction effects two accounts, so that, debit is always equal to credit. Yes, it might be seen as twice recorded but, we don't record same thing twice, we record two different things.

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(2)

(b)

(i)

$$\text{Cash} = 3340 - 480 + 840 = 3700$$

$$\begin{aligned}\text{Accounts Receivable} &= \cancel{3340} + 480 \\ &= 2731 + 480 + 840 \\ &= 2371\end{aligned}$$

$$\text{(iii) Service revenue} = 2480 - 89 + 890$$

$$= 3281$$

$$\text{(iv) Salary Expense} = 3200 + 700$$

$$= 3900$$

$$* \text{① Accounts payable} = 3666 - \cancel{306} 360 - 306$$

$$= 3000$$

(3)

\* (vi) - Salaries Expense =  $\frac{3900}{2} - 600$   
 $= \frac{2600}{2} = 1300$

- Drawing =  $800 + 600 = 1400$

Syed Moiz Co  
 Trial Balance  
 June 30, 2010.

| Account Title       | Debit        | Credit       |
|---------------------|--------------|--------------|
| <u>Cash</u>         | <u>3700</u>  |              |
| Accounts Receivable | 2371         |              |
| Supplies            | 1200         |              |
| Equipment           | 2600         |              |
| Accounts payable    |              | <u>3000</u>  |
| Unearned Revenue    |              | 1100         |
| S. Moiz, Capital    |              | 8000         |
| S. Moiz, Drawing    | <u>1400</u>  |              |
| Service Revenue     | 3300         | <u>3281</u>  |
| Salaries Expense    | <u>3900</u>  |              |
| Office Expense      | <u>810</u>   |              |
| Total               | <u>15381</u> | <u>15381</u> |

2. No. Ans.:

(a)

Revenue Recognition Principle, states that, we earned whenever, we have given some service. We don't wait for the money. We do the service & we record it.

Therefore, according to this principle, \$1000 is considered to be earned on November 30.

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(6)

(b)

| Account Title       |    | Debit | Credit |
|---------------------|----|-------|--------|
| R. Hancock, Capital | Dn | 15000 |        |
| R. Hancock, Drawing | Cn |       | 15000  |
| R. Hancock, Capital | Dn | 8000  |        |
| Net loss            | Cn |       | 8000   |

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| Date    | Account Title                                                   |    | Debit                   | Credit                  |
|---------|-----------------------------------------------------------------|----|-------------------------|-------------------------|
| June 30 | Supplies Expense                                                | Dn | 2400                    |                         |
|         | Supplies                                                        | Cn |                         | 2400                    |
| "       | Interest Expense                                                | Dn | 1500                    |                         |
|         | Interest Payable                                                | Cn |                         | 1500                    |
|         | $\frac{20000 \times 9\%}{12} = 1500$                            |    |                         |                         |
| "       | Insurance Expense                                               | Dn | <del>1800</del><br>600  |                         |
|         | Prepaid Insurance                                               | Cn |                         | <del>1800</del><br>600  |
|         | $(5400/12) \times 4 = 1800$<br>$(1800/12 = 150 \times 4 = 600)$ |    |                         |                         |
| "       | Unearned Consulting Revenue                                     | Dn | <del>6000</del><br>4500 |                         |
|         | Consulting Revenue                                              | Cn |                         | <del>6000</del><br>4500 |
| "       | Account Receivable                                              | Dn | 2000                    |                         |
|         | Graphic Revenue                                                 | Cn |                         | 2000                    |
| "       | Depreciation expense                                            | Dn | 1000                    |                         |
|         | Accumulated Depreciation                                        | Cn |                         | 1000                    |
|         | $\frac{2000 \times 6}{12} = 1000$                               |    |                         |                         |

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Graphics Company

Trial Balance

January 1, 2010

| Account Title            | Debit | Credit |
|--------------------------|-------|--------|
| Cash                     | 9500  |        |
| Accounts Receivable      | 16000 |        |
| Equipment                | 45000 |        |
| Prepaid Insurance        | 1200  |        |
| Insurance Expense        | 600   |        |
| Salaries Expense         | 30000 |        |
| Supplies Expense         | 2400  |        |
| Supplies                 | 1300  |        |
| Advertising Expense      | 1900  |        |
| Rent Expense             | 1500  |        |
| Utilities Expense        | 1700  |        |
| Depreciation Expense     | 1800  |        |
| Interest Expense         | 1500  |        |
| Interest Payable         |       | 1500   |
| Accumulated Depreciation |       | 1000   |
| Notes Payable            |       | 20000  |
| Accounts Payable         |       | 9000   |
| Sue Givens, Capital      |       | 22000  |
| Graphic Revenue          |       | 54100  |
| Consulting Revenue       |       | 7500   |

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| Account Title               | Debit  | Credit |
|-----------------------------|--------|--------|
| Unearned Consulting Revenue |        | 1500   |
| Total                       | 113600 | 113600 |

3. No. Ans.:

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If Navid is meaning,  
that transaction only effect 'cash' then  
he is definitely wrong.

Because, there are  
 transactions where only Service Revenue  
 & Accounts Receivable, are affected, not  
 cash. Another example, Interest expense &  
Interest Payable.

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(10)

(b)

(i)

Inventory Turnover =

$$\frac{\text{Cost of goods sold, 2011}}{\text{Average Inventory}}$$

$$\Rightarrow 3.5 = \frac{\text{Cost of goods sold}}{190000}$$

$$\therefore \text{cost of goods sold} = \underline{665000} \$ \quad (\text{Ans.})$$

(ii)

Receivables Turnover =

$$\frac{\text{Net sales}}{\text{Average Receivables}}$$

$$\Rightarrow 8.8 = \frac{\text{Net sales}}{97250}$$

$$\therefore \text{Net sales} = \underline{873400} \$ \quad (\text{Ans.})$$

$$(iii) \text{ Return on assets} = \frac{\text{Net Income}}{\text{Average assets}}$$

Return on common stockholder's equity

$$= \frac{\text{Net Income}}{\text{Avg Common stockholder's equity}}$$

$$\Rightarrow \frac{24 \times 100}{100} = \frac{\text{Net Income}}{\frac{5135000 + 501000}{2}}$$

$$\Rightarrow \text{Net Income} = \frac{24}{100} \times 507250$$

$$= \boxed{121740}$$

$$(iv) \text{ Return on assets} = \frac{\text{Net Income}}{\text{Avg asset}}$$

$$\Rightarrow \frac{20}{100} = \frac{121740}{\text{Avg asset}}$$

$$\Rightarrow \text{Avg asset} = 608700$$

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(12)

$$\text{Now, Avg asset} = \frac{605,000 + \text{Total Asset, 2011}}{2}$$

$$\Rightarrow (608,700 \times 2) - 605,000 = \text{Total Asset, 2011}$$

$$\therefore \text{Total Asset, 2011} = \boxed{612,400}$$

(i)

$$\text{Inventory Turnover} = \frac{380,000}{90,000} = 4.22 \text{ times.}$$

(ii) Return on common stockholder's equity

$$= \frac{50,000 - 0}{(400,000 + 300,000) + (300,000 + 250,000)} \times 2$$

$$= 13.24\%$$

$$(ii) \text{ payout Ratio} = \frac{\text{Cash dividends}}{\text{Net Income}}$$

$$= \frac{20000}{50000}$$

$$= 0.4 : 1$$

(iv) Debt to Total Asset Ratio

$$= \frac{\text{Total Debt}}{\text{Total Asset}} = \frac{60000 + 40000}{530000}$$

$$= 0.189 : 1$$